Upload a budget-versus-actual file to start.

It needs an Actual column and a Budget, Forecast or Prior Period column. I show how I read the file, ask for the period and the materiality thresholds, then compare each line.

sample_variance.csv

Welcome to the Variance Analysis Agent. I compare each line's Actual against your budget, flag the gaps big enough to matter, and say whether each one helped or hurt profit. Type `help` for everything you can ask.

Loaded 'sample_variance.csv' (5 data rows).

What reporting period does this analysis cover? (e.g., Q3 2026, October 2026, FY2026)

Q3 2026

Period set to: **Q3 2026**

Now set the materiality thresholds. Enter a dollar amount and a percentage, for example: `$10,000 or 5%`

Or choose a preset below:

$10,000 or 5%

Thresholds set: **$10,000.00** or **5.0%**

What is the reporting currency?

USD

Q3 2026 against budget

Currency USD Material at $10,000.00 or 5.0% Lines read 5

Revenue	Expenses	Net operating impact
$162,500.00	**$116,000.00**	**-$8,500.00**
Budget $150,000.00	Budget $95,000.00	Below budget
$12,500.00, 8.3%	$21,000.00, 22.1%	
○ Favorable	□ Unfavorable	

4 material variances

Line item	Type	Budget	Actual	Variance	Variance %	Status
Subscription Revenue	Revenue	$100,000.00	$115,500.00	$15,500.00	15.5%	○ Favorable
Marketing Expense	Expense	$20,000.00	$33,000.00	$13,000.00	65.0%	□ Unfavorable
Payroll Expense	Expense	$60,000.00	$68,000.00	$8,000.00	13.3%	□ Unfavorable
Services Revenue	Revenue	$50,000.00	$47,000.00	-$3,000.00	-6.0%	□ Unfavorable

Why Subscription Revenue?

Driver evidence: Subscription Revenue

Type Revenue

Budget	Actual	Variance
$100,000.00	**$115,500.00**	**$15,500.00**
		15.5%
		○ Favorable

Volume / price decomposition reconciles

Volume effect	$5,000.00
Price effect	$10,500.00

Supported driver.

drivers

Driver data

Reconciled driver models	Material variances covered
1 of 5	**25.0%**
1 with driver data	

A driver model splits a variance from budget into its causes, such as price and volume, or rate and volume.

Driver data by line

Line item	Variance	Model	Reconciliation	Driver components
Subscription Revenue	$15,500.00	volume / price	Reconciled	Volume effect: $5,000.00, Price effect: $10,500.00
Services Revenue	-$3,000.00	None	No driver data	—
Payroll Expense	$8,000.00	None	No driver data	—
Marketing Expense	$13,000.00	None	No driver data	—
Rent Expense	$0.00	None	No driver data	—

biggest risks

Top financial risks

Compared with Budget

The largest is Marketing Expense. Ask “why Marketing Expense” to see what drove it.

3 material unfavorable variances

Line item	Type	Budget	Actual	Variance	Variance %	Status
Marketing Expense	Expense	$20,000.00	$33,000.00	$13,000.00	65.0%	☐ Unfavorable
Payroll Expense	Expense	$60,000.00	$68,000.00	$8,000.00	13.3%	☐ Unfavorable
Services Revenue	Revenue	$50,000.00	$47,000.00	-$3,000.00	-6.0%	☐ Unfavorable

what if marketing is 10% lower

Scenario: Marketing Expense -10.0%

Target Marketing Expense (Expense) Baseline actual $33,000.00 Simulated value $29,700.00

Operating profit	Operating margin	Against budget
$49,800.00	**30.6%**	**-$5,200.00**
Baseline $46,500.00	Baseline 28.6%	Budget profit $55,000.00
$3,300.00 vs. baseline (expansion)	+2.0 pts	Shortfall

The scenario line by line

Metric	Budget	Baseline actual	Simulated scenario	Delta vs baseline	Status
Marketing Expense	$20,000.00	$33,000.00	$29,700.00	-$3,300.00	○ Favorable
Total Revenue	$150,000.00	$162,500.00	$162,500.00	$0.00	○ Favorable
Total Expenses	$95,000.00	$116,000.00	$112,700.00	-$3,300.00	○ Favorable
Operating Profit	$55,000.00	$46,500.00	$49,800.00	$3,300.00	○ Favorable

waterfall

P&L Variance Bridge (Waterfall Walk)

Reconciling baseline Budget Operating Profit to Actual Operating Profit for **Q3 2026**:

- **Budget Operating Profit**: $55,000.00
- **Revenue Bridge Impact**: $12,500.00 (beat)
- **Expense Bridge Impact**: -$21,000.00 (overrun)
- **Actual Operating Profit**: $46,500.00
- **Net Profit Variance**: -$8,500.00 (unfavorable shortfall)

Each line item's contribution to operating profit is displayed in the bridge table below (positive values expand profit; negative values contract profit):

Line item	Type	Budget	Actual	Variance	Profit impact ($)	Status
1. Budget Operating Profit	Baseline	$55,000.00	$55,000.00	$0.00	$0.00	○ Neutral
Subscription Revenue	Revenue	$100,000.00	$115,500.00	$15,500.00	$15,500.00	○ Favorable
Marketing Expense	Expense	$20,000.00	$33,000.00	$13,000.00	-$13,000.00	□ Unfavorable
Payroll Expense	Expense	$60,000.00	$68,000.00	$8,000.00	-$8,000.00	□ Unfavorable
Services Revenue	Revenue	$50,000.00	$47,000.00	-$3,000.00	-$3,000.00	□ Unfavorable
Rent Expense	Expense	$15,000.00	$15,000.00	$0.00	$0.00	○ Neutral
Actual Operating Profit	Summary	$55,000.00	$46,500.00	-$8,500.00	-$8,500.00	□ Unfavorable